

Commentary on Chapter 16

That which thou sowest is not quickened, except it die.

—I. Corinthians, XV:36.

The Zeal of the Convert

Although convertible bonds are called “bonds,” they behave like stocks, work like options, and are cloaked in obscurity.

If you own a convertible, you also hold an option: You can either keep the bond and continue to earn interest on it, or you can exchange it for common stock of the issuing company at a predetermined ratio. (An option gives its owner the right to buy or sell another security at a given price within a specific period of time.) Because they are exchangeable into stock, convertibles pay lower rates of interest than most comparable bonds. On the other hand, if a company’s stock price soars, a convertible bond exchangeable into that stock will perform much better than a conventional bond. (Conversely, the typical convertible—with its lower interest rate—will fare worse in a falling bond market.)¹

From 1957 through 2002, according to Ibbotson Associates, convertible bonds earned an annual average return of 8.3%—only two percentage points below the total return on stocks, but with steadier prices and shallower losses.² More income, less risk than stocks: No wonder Wall